

Palantir Technologies Inc.

PLTR NYSE

Hold	\$175.50 ▼ 0.42%	12M Price Target \$185.00	52-Week Range \$106.37 – \$207.52	Market Cap \$421.72B
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PLTR: Karp Floats AI Nationalization as Insiders Keep Selling

WHAT HAPPENED

- Karp (PLTR's CEO) said out loud that AI labs may need to be nationalized to shield them from lawsuits — that's a wild quote, and it matters because it signals Palantir sees the government as its permanent moat and shield. Translation: he's basically saying "we're too intertwined with Uncle Sam to be sued into oblivion," which is bullish for their competitive position but raises eyebrows on governance.
- Director Alex Moore dumped ~\$2M in stock across Sept 15 — not huge in dollar terms, but it's cluster selling with zero insider buying, and it's happening near 52-week highs. When insiders sell into strength, they're telling you the risk/reward isn't as juicy up here as it was at \$110.

WHY IT MATTERS

The setup here is a tug-of-war: options traders are aggressively bullish (call buying at 3-5x normal volume on the \$175-\$177.50 strikes), while insiders are quietly cashing out. That divergence usually resolves with a sharp move in one direction — and given we're at 68% of the 52-week range with a Fed backdrop that's supporting risk assets, the near-term melt-up bias is real. Bigger picture: Karp's nationalization comment isn't random — it's a tell that the administration's AI strategy is moving toward "national champions," and Palantir wants to be one of the two or three companies at that table. If the White House formalizes an AI industrial policy this fall (which is being telegraphed), PLTR is arguably the biggest single-name beneficiary in the market.

POLICY & POLITICAL WATCH

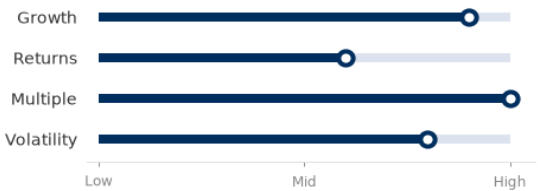
Two things to watch: (1) the FY2027 defense authorization bill working through Congress includes expanded funding for "AI-enabled command and control" — that's literally Palantir's Maven/TITAN business, and estimates put the incremental spend at \$2-4B annually if it passes intact. (2) The administration's rumored executive order on federal AI procurement standards would favor vendors already cleared for classified environments — a moat PLTR already has and startups don't. Headwind to watch: any Democratic push to add commercial AI liability rules (the thing Karp is preemptively complaining about) could slow enterprise deals, though government revenue would be insulated.

IS IT EXPENSIVE?

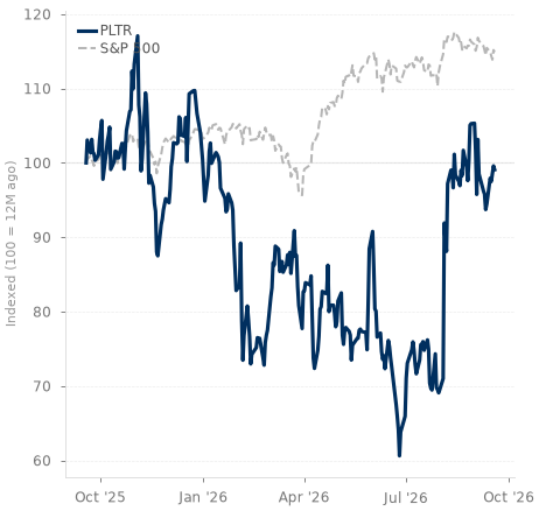
Key Data

Price (USD)	\$175.50
12M Price Target	\$185.00
Upside / (Downside)	+5.4%
Market Cap	\$421.72B
FY2026E Revenue	\$4,350M
FY2027E Revenue	\$5,900M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.88
Fwd P/E	283.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$195.00	\$178.00	\$158.00
6 Months	\$230.00	\$185.00	\$140.00
1 Year	\$260.00	\$195.00	\$120.00
2 Years	\$320.00	\$220.00	\$100.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$850.00	\$450.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy is the only green sector today (+0.11%) — likely a geopolitical/supply story rather than growth. AI infrastructure and defense-tech remain the multi-month leadership.

COOLING OFF: Financials (-2.65% over 5 days) and Industrials (-2.22%) — the market is fading the "reflation trade" as rate cut expectations firm up. Healthcare bouncing (+1.58% 5D) suggests defensive rotation is starting quietly.

ROTATION WATCH: Money is staying inside mega-cap tech and AI names rather than rotating out — that's the Barron's "surprising strength" story. As long as this holds, PLTR is in the sweet spot.

RELATED PLAY: If you like the PLTR thesis but hate the valuation, look at defense primes like LMT or the pure-play AI infrastructure names (VRT, powering the data centers) — same tailwind, cheaper multiples.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Dan Ives calling it the "Ferrari left lane" of AI — capex spending on AI infra is being rewarded, not punished, which is a regime shift.
- NVDA (Nvidia): Still the picks-and-shovels leader — every dollar PLTR earns eventually flows to Nvidia GPU demand.

PLTR CONTEXT: PLTR is actually a slight laggard this week — flat while the AI narrative is red-hot. That's the insider selling and valuation gravity showing up. It's not broken, but it's no longer the leadership horse it was in H1.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business and the policy tailwind, but the valuation makes me a coward at these levels.

POSITION SIZE: 2-3% of portfolio. If you already own it from lower, trim to this weight and let the rest ride. Don't chase.

ENTRY POINTS: I'd rather add on a pullback to \$150-160 (roughly the 50-day average zone) than buy the breakout above \$180. This stock gives you volatile pullbacks 3-4 times a year — be patient.

TIME HORIZON: 12-24 months, with the defense budget vote and Q4 earnings as near-term catalysts.

WHEN TO BAIL: If government revenue growth decelerates for two straight quarters, or if Karp signals a leadership transition, I'm gone. Also bail if the stock breaks \$140 with heavy volume — that would signal the momentum crowd is capitulating.

HEDGING: Buy a put option 10-15% below the current price as insurance — it costs you a small premium but caps your downside if the AI trade unwinds. Cheaper alternative: just don't oversize the position.